

International Institute of Information Technology

HS5.202- Introduction to Economics

Monsoon 2026

Mid-Semester Exam

Time: 90 minutes

Marks: 35

28  
15

Answer the following questions

1. "We do not easily change our allegiance to economic theories, precisely because these theories are closely connected to our understanding of the world and of ourselves." (Wolff and Resnick, 2012)
  - a) Argue for or against the above statement.
  - b) Explain the difference between necessary labour and surplus labour.
  - c) What is the rate of exploitation, and can you think of a way in which it can be increased?

(6+4+4)  
14

Surplus  
Household
2. ~~a)~~ How is household work understood within the framework of class processes and how is this understanding different compared to one that sees class as a group?
  - b) Why is investment demand seen as the main source of business cycles in comparison to both consumption demand and government spending?

(7+6)  
13
3. Consider a government which sees the need to enact an expansionary fiscal policy to counteract an investment decline. At the same time, it faces a constraint that it cannot add to its existing budget deficit.
  - a) Explain an option is available to the government in this case. Assume any sensible notation and/or numerical value that helps in answering this question.
  - b) For the case detailed above, what is the value of the multiplier corresponding to the government's expansionary fiscal policy

(4+ 4)  
8